VC Policy Engine — Business Opportunity Report

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Executive summary

We recommend building VC Policy Engine as an open-core decision layer and relying-party intermediary service for verifiable credentials. The first customer would be an EU bank or insurer, and the service should be in production before EU wallet acceptance becomes mandatory on 24 December 2027.

The opportunity. From late 2027, regulated firms across the EU must accept the EU Digital Identity Wallet. Verifying a wallet presentation is fast becoming a commodity. Turning it into an auditable PASS, FAIL or REVIEW decision that a compliance team can defend is not. That decision layer is the product.

Why us, why now. The standards are final and certifiable (OpenID4VP 1.0, OpenID4VCI 1.0, HAIP 1.0). Open-source verifiers exist, but none treats governed, claim-scoped, explainable decisions as its core. Banks and insurers face this deadline with AML obligations arriving earlier, on 10 July 2027.

Decisions taken.

- Markets: EU relying parties first, then India DPI, then global B2B onboarding.
- Role: act as, or partner with, a relying-party intermediary.
- Governance: open core first (Apache-2.0), then move to a neutral foundation.
- First design partner: a bank or insurer.

Plan in one line. Six phases over about 13 months, starting 16 November 2026. The pilot with the bank or insurer is live by July 2027; India and B2B extensions follow before December 2027. The Implementation Plan and the Design & Architecture Document give the detail.

What is needed now. A signed letter of intent from a bank or insurer, a core engineering team for P0–P2, and a licensed intermediary or QTSP partner for access certificates.

Problem and customer

A bank or insurer that must accept EU wallets faces three jobs at once: technical acceptance, regulatory registration and turning credentials into onboarding decisions. Today the third job lands on the compliance team as manual review.

Primary customer. The head of digital onboarding or KYC operations at an EU bank or insurer. The CISO, compliance and procurement must also approve.

What they must do:

1. **Register as a wallet relying party.** Implementing Regulation (EU) 2025/848 requires a national register. Each relying party declares what data it will request and why (Shufti).
2. **Accept wallets technically.** That means OpenID4VP with both SD-JWT VC and mdoc credentials, access and registration certificates, and EU trusted lists (German EUDI RP guide).
3. **Keep AML controls in place.** The wallet is not a KYC shortcut; firms must keep running every AML check they run today (Shufti).
4. **Log minimally.** Pseudonymise identifiers and do not store full credential data (German EUDI RP guide).

Where it hurts:

- Verifiers return "valid" or "invalid". Compliance needs "approve, reject or send to review, and why", tied to a policy version an auditor can replay.
- Each new product or country means new rules, written by engineers rather than owned by compliance.
- Building in-house means holding keys in hardware, keeping trusted lists current and re-testing as specs change. That is costly for one firm. An intermediary can carry it for many (Didit).
- Missing or unavailable evidence is often treated as a pass or a hard fail. Neither is right for regulated onboarding.

Market and timing

Demand is set by deadlines, not by analyst forecasts. Regulated EU relying parties must be ready by December 2027, so they are choosing vendors over the next twelve months.

Demand drivers

Driver	When	What it means for buyers
EUDI Wallet available in every member state (Regulation 2024/1183)	By 24 Dec 2026	Customers start arriving with wallets
EU AML Regulation key obligations (Corbado)	From 10 Jul 2027	Onboarding decisions must be defensible

Driver	When	What it means for buyers
Mandatory wallet acceptance by regulated private relying parties (Shufti)	By Dec 2027	Banks, insurers, telcos and energy firms must accept wallets
OpenID4VP/VCI + HAIP conformance self-certification (OIDF)	Open since 7 Aug 2026	Buyers can require certified verifiers
European Business Wallet regulation (KPMG)	In legislative process	Verified company identity for B2B onboarding
India: MOSIP Inji spun out as a sector-agnostic credential platform (Biometric Update)	2026	Open, standards-based credentials across sectors

Rollout is uneven: an assessment found fewer than a third of member states on track for December 2026 (Corbado). That argues for a second and third market rather than against the first.

Market size

Published estimates for the 2025 decentralised identity market range from USD 0.92 billion (GMI) to USD 11.28 billion (Fortune Business Insights). A 12× spread is too wide to plan on. We size bottom-up instead: the German programme alone plans for "tens of thousands" of relying parties (Corbado). A bottom-up count of obliged relying parties per target country is the first task in P0.

Segments, in order

Order	Segment	Entry point	Why this order
1	EU banks and insurers	Customer onboarding with PID and attestations	Hard deadline; design partner; highest value per decision
1b	Other EU obliged sectors and RP intermediaries	The same service, multi-tenant	Re-uses the bank/insurer build
2	India DPI (banks, NBFCs, systems integrators)	Inji and DigiLocker credentials	Large, standards-driven; hedges EUDI delays

Order	Segment	Entry point	Why this order
3	Global B2B onboarding	Supplier, broker and agent qualification (vLEI, EU Business Wallet, UNTP)	Same decision engine; regulation still settling

Product and value proposition

VC Policy Engine turns a wallet presentation into an explained PASS, FAIL or REVIEW decision under a versioned policy that compliance owns. It is offered as an open-source library and as a managed relying-party intermediary service.

Offerings

Offering	For	What they get
Open core (Apache-2.0 SDK and self-hosted service)	Engineering teams, integrators, public-sector DPI	Verification of SD-JWT VC and mdoc (W3C VC later), OpenID4VP/HAIP, trust and status checks, the CEL policy engine, decision evidence
Managed intermediary service	Banks, insurers and other obliged relying parties	All of the above, hosted multi-tenant; access certificates in HSM; per-client registration certificates; trusted-list operations; SLAs; certification upkeep
Enterprise features	Large or regulated buyers	Admin console, SSO/RBAC, DORA due-diligence pack, audit exports, dedicated deployment

Value for a bank or insurer

- **Meet the deadline** without building OpenID4VP, mdoc, certificate and trusted-list handling in-house.
- **Decisions compliance can defend.** Each decision records its policy version, reason codes and an evidence digest that an auditor can replay.

- **Fewer manual reviews.** Clear PASS and FAIL cases are automated. Only missing, stale or conflicting evidence goes to REVIEW, with a reason.
- **Policies owned by the business.** The Policy Studio has simulation, test cases and two-person publishing.
- **Privacy by design.** Hashes and reason codes are stored, never full credentials, in line with the logging guidance for EU relying parties.

What makes it different

1. **Claim-scoped trust.** An issuer is trusted only for the credential types and claims it is authorised for.
2. **Three-outcome, fail-closed decisions.** An unavailable status service or missing evidence gives REVIEW, never PASS.
3. **Governed policies.** Published versions are immutable, carry test cases, and can be simulated before release.
4. **Standards everywhere.** OpenID4VP/HAIP certification, the Digital Credentials API, and an OpenID AuthZEN decision API so the engine slots in behind existing systems.

Competition and positioning

We compete on the decision layer and partner on the protocol layer. Every serious stack already verifies wallet presentations. Only walt.id ships a policy layer, and that is generic OPA/Rego allow/deny.

Competitor	Type	Strength	Where we win
walt.id	Open source + enterprise (Kotlin)	Broad OpenID4VC coverage; OPA/Rego policies	REVIEW outcome, governed policy versions, claim-scoped trust, TypeScript embedding
EU reference verifier	Open source (Kotlin)	Official interop baseline	Not a product: no policy, tenancy or support
Credo / OWF TypeScript libraries	Open source foundation projects	Protocol and format depth	We build on them, so they are a supplier, not a rival

Competitor	Type	Strength	Where we win
OpenEUDI	Open core (TypeScript, MIT)	Simple EUDI checks, e-commerce plugins	Regulated decisions with evidence and governance
Procivis One	Open source + enterprise (Rust)	Full lifecycle, public-sector wins	Lighter to embed; decision layer for private relying parties
IDV vendors and RP intermediaries (e.g. Didit, Signicat, IDnow)	SaaS	Existing bank relationships, document KYC	An open, embeddable decision core they can resell; also a channel

Positioning statement. For EU banks and insurers that must accept digital identity wallets, VC Policy Engine is the open decision layer and intermediary service that turns wallet presentations into defensible onboarding decisions. Unlike plain verifiers, it delivers governed, explainable PASS, FAIL and REVIEW outcomes on certified, standards-based infrastructure.

Business model and go-to-market

Revenue comes from running the service and certificate operations, never from locking features out of the open core. That keeps a later move to a foundation clean.

Revenue streams

Stream	Charged for	Notes
Managed intermediary service	Platform fee per tenant plus a fee per decision	Price levels to be set with the design partner in P0–P3
Certificate and trust operations	HSM-held access certificates, registration-certificate handling, trusted-list operations	Delivered with a QTSP or licensed partner at first
Enterprise subscription	Admin console, SSO/RBAC, audit exports, SLAs, dedicated deployment	For self-hosting banks and integrators
Services	Policy design, integration, certification support	Mainly during pilots and in India via SIs

Open core, then foundation

1. **Now:** Apache-2.0 core with DCO sign-off, neutral package names, public roadmap and security policy.
2. **Open-core line:** every verification, trust, status and policy feature stays open. Only operational features (hosting, HSM, admin console, SLAs) are commercial.
3. **Foundation move:** once v1.x is stable and at least two maintainers come from outside the company, apply to the OpenWallet Foundation as a lab project. The target is January 2028.

Go-to-market

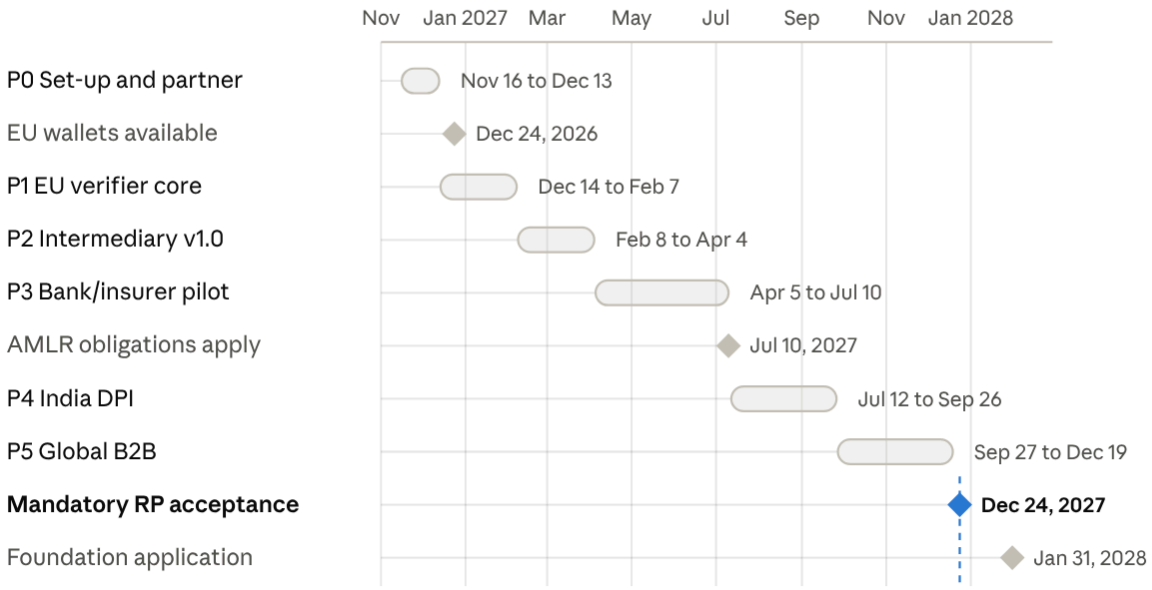
- **Design partner first.** One EU bank or insurer co-designs the onboarding policy and runs the pilot (P0–P3). A reference customer is the main sales asset for the 2027 deadline.
- **Through intermediaries.** We act as a relying-party intermediary or partner with one, plus IDV vendors who want a decision layer to resell.
- **Certification as proof.** OIDF HAIP verifier self-certification and national sandbox results shorten bank vendor reviews.
- **Community.** Open-source releases, OIDF interop events and conference talks build developer adoption and future maintainers.
- **India and B2B.** Partner with systems integrators and MOSIP/Inji adopters in India (P4). Use the insurer's broker and supplier onboarding as the first B2B case (P5).

Roadmap and milestones

The EU path (P0–P3) puts the service into production with the design partner by July 2027. India (P4) and global B2B (P5) reuse the same core before the December 2027 deadline.

Partner pilot is live five months before EU wallet acceptance is mandatory

VC Policy Engine roadmap: phases (bars) and external deadlines (diamonds)



Assumes a start on 16 Nov 2026. Each phase ends at its gate (G0 to G5); the foundation date is a target.

roadmap · 6 phases, Nov 2026 to Feb 2028

Gates (each phase ends only when its gate is met):

- **G0** — Letter of intent signed; onboarding policy and test vectors agreed with the partner.
- **G1** — EU reference wallet presents a PID in SD-JWT VC and mdoc and receives an explained decision; OIDF verifier tests pass in CI.
- **G2** — v1.0 released; HAIP verifier self-certification published; external pen test has no open critical or high findings.
- **G3** — First production decisions at the partner; partner agrees to scale.
- **G4** — An Inji wallet presentation produces a decision; DPDP Act mapping reviewed by counsel.
- **G5** — First B2B pilot live (broker or supplier onboarding).

The Implementation Plan breaks each phase into steps.

Risks and mitigations

The main commercial risk is that larger verifier stacks add a "good enough" policy feature. A reference bank or insurer customer before the deadline is the strongest defence.

Risk	Likelihood	Impact	Mitigation	Phase
Verifier stacks add richer policy features	High	High	Lead on governance, REVIEW semantics and claim-scoped trust; integrate with their verifiers rather than fight them	P0–P2
No bank or insurer signs, or vendor review is slow	Medium	High	Sandbox pilot needs no production contract; DORA pack started in P0; keep a second candidate warm	P0, P3
EUDI rollout slips in some member states	Medium–high	Medium	Pilot in the most advanced sandboxes; India and B2B carry demand	P3–P5
Intermediary liability and compliance load	High	High	Start through a licensed intermediary or QTSP partner; register in our own name after G3	P2–P3
Wrong approvals from policy mistakes	Medium	High	Policy test cases, simulation, two-person publish, decisions pinned to policy versions	P1–P2
Three markets stretch a small team	High	Medium	India and B2B start only after G2; adapters only, one core	P4–P5
Spec drift (SD-JWT VC drafts, DC API)	Medium	Medium	Version-tolerant adapters; OIDF conformance on every release	All
Tension between open core and a later foundation donation	Low	Medium	All verification and policy logic open; DCO, not CLA; neutral names	P0 onward

Decisions and next steps

The four strategic decisions are taken. What remains is to staff the team and sign the partner in the next four weeks (P0).

Decisions taken (8 November 2026)

Question	Decision
Primary markets	EU relying parties, India DPI and global B2B, taken in that order
Role	Act as, or partner with, a relying-party intermediary
Governance	Open core first, then a foundation
First design partner	A bank or insurer

Next steps (P0)

- [ ] Approve this report and the core-team budget (to be estimated in P0, step 0.2)
- [ ] Shortlist three EU banks or insurers and open design-partner talks
- [ ] Shortlist a licensed RP intermediary or QTSP partner for access certificates
- [ ] Create the public repository under Apache-2.0 with DCO, SECURITY.md and a roadmap
- [ ] Count obliged relying parties bottom-up in the first target countries

Sources

The input was the *VC Policy Engine — Architecture & Implementation Blueprint* v0.1. The research behind it is in the Opportunity, Industry & Interoperability Report. Web sources were consulted on 8 November 2026. Several are vendor blogs, so check regulatory dates against the official texts.

- EU Digital Identity Wallet (Wikipedia) · Shufti — eIDAS 2.0 obligations · Corbado — EUDI 2026 rollout · German EUDI RP onboarding · Didit — EUDI integration routes
- OIDF conformance completion · KPMG — European Business Wallet · Biometric Update — MOSIP Inji
- GMI market estimate · Fortune Business Insights
- walt.id policies · EU reference verifier · OWF TypeScript projects · OpenEUDI · Procivis One Core